

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS (Continued)

Products and services	Nature, timing of satisfaction of performance obligations, and significant payment terms
Instruments	For instruments that include installation, and if the installation meets the criteria to be considered a separate performance obligation, product revenue is generally recognized upon delivery or when title has transferred to the customer, which is generally the point in time where control of the products has been transferred to customers, and installation revenue is recognized when the installation is complete. Certain of the products require specialized installation and configuration at the customer's site. Revenue for these products is deferred until installation is complete and customer acceptance has been received. Payment terms and conditions vary, although terms generally include a requirement of payment within 30 to 60 days.
Consumables and reagents	Revenue from the sale of consumables and reagents is recognized upon delivery or when title has transferred to the customer, which is generally the point in time where control of the products has been transferred to customers. Payment terms and conditions vary, although terms generally include a requirement of payment within 30 days.
Software licenses and subscriptions	Customers may purchase perpetual or term licenses, or subscribe to licenses, which provide customers with the same functionality and differ mainly in the duration over which the customer benefits from the software.
Cloud services	Cloud services, which allow customers to use hosted software over the contract period without taking possession of the software, are provided on either a subscription or consumption basis. Revenue related to cloud services provided on a subscription basis is recognized ratably over the contract period.
Extended warranty	Revenue for extended warranties is recognized on a straight-line basis over the extended warranty period in service revenue. The customary warranty period is one year and the extended warranty covers periods beyond year one.
Laboratory services and training	Service offerings include service contracts, field service, including related time and materials, and training. Revenue for the service contracts is recognized over the contract period or at a point in time when the service is billable based on time and materials.